

Scaling Up or Shutting Out? Firm Size and Female Employment in India

Madhav, Marisa, Prasad, Vishvas, Yasashvi

Ashoka University

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Outline

- 1 Motivation
- 2 Data and Variables
- 3 Summary Statistics and Preliminaries

Motivation

- Female employment in manufacturing remains low in India.
- Chakraborty and Mahajan (2025) show that large firms provide amenities such as transport, safety compliances, maternity benefits, contracts etc.
 - Cheaper for large firms to provide this as these fixed costs can be spread over a larger workforce
 - Female workers prefer working at firms which provide these amenities
- Through an audit study, Chakraborty and Mahajan (2025) rule out the potential hypothesis that large firms tend to discriminate lesser against female workers
- Another potential hypothesis is that large firms have a higher degree of differentiation in the types of roles they need to hire for
- Chiplunkar and Goldberg (2024) show that larger firms tend to have more women in upper-management and the board, causing trickle-down effects onto lower levels of employment as well
- Research Question: Does firm size impact the share of blue-collar women workers in the Indian manufacturing sector?

Data and Variables Description

- Annual Survey of Industries (ASI) 2023-24: Firm-level data
- Dependent variable (Y): Share of blue-collar women workers that are directly hired. We construct this by:

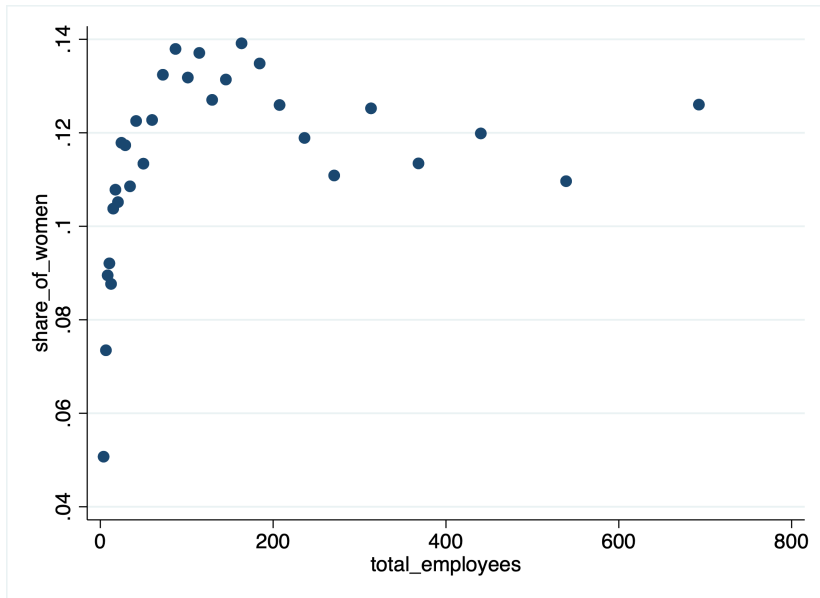
$$\frac{\text{Total blue-collar } \textit{female} \text{ workers that are directly hired}}{\text{Total blue-collar workers that are directly hired}}$$

- Independent variable (X): Firm size defined by the total number of employees (both white-collar and blue-collar) in the factory
 - Consistent with literature and to improve measurement, we will be taking the log of total employees, which will allow us to interpret the coefficient of interest as a percentage change.

Summary Statistics

(1)					
	Mean	SD	Min	Max	N
Male Workers	103.12	319.03	0	20674	48913
Female Workers	25.76	286.04	0	43658	48911
Share of Women	0.12	0.21	0	1	48911
Total Employees	275.90	923.15	1	66703	48914
Observations	48914				

Summary Statistics



- On average factories in India have lesser female workers as compared to male workers ($\approx 12\%$ only)
- We see a positive correlation between total employees and the share of women, especially for factories between the 0-200 range.
- Our project aims to test if this relationship holds, as this would allow us to identify channels which will increase the low FLFP in India

- Chakraborty, P., & Mahajan, K. (2025). Firm size and female employment. *Economics Discussion Paper*, (103).
- Chiplunkar, G., & Goldberg, P. K. (2024). Aggregate implications of barriers to female entrepreneurship. *Econometrica*, 92(6), 1801-1835.

Thank you!

Questions?